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Universal Baby Bonds Reduce Black-White Wealth Inequality, Progressively Raise Net Worth of All Young Adults

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Abstract

The distribution of wealth has grown increasingly unequal, especially along racial lines. Lawmakers and researchers propose to address the issue with universal "baby bonds," paid to every newborn and preserved until young adulthood. Bond values are tied inversely to wealth up to a $50,000 maximum investment. This study uses longitudinal data from the Panel Study of Income Dynamics on the assets of young adults to simulate contemporary racial inequalities under a counterfactual policy environment in which the United States had administered baby bonds when the current cohort of young adults were newborns. Initial bond values are defined categorically by quintiles of household wealth observed in 1989 and 1994, smoothed across the inverse hyperbolic sine of household wealth, and then assumed to grow at 2% per year through 2015. Without baby bonds, young White Americans hold approximately 16 times the wealth of young Black Americans at the median ($46,000 vs. $2,900). Baby bonds reduce the disparity to a factor of 1.4 ($79,143 vs. $57,845), in the absence of intervening behavioral responses to the policy. The share held by the top decile decreases from 72% to 65%, marginally approaching the more egalitarian societies. Baby bonds considerably narrow wealth inequalities while simultaneously improving the net asset position of young adults and alleviating asset concentration.

Keywords

distribution of wealth, welfare economics, welfare policy, entitlements

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Introduction

If we take 100 people to represent the United States and $100 to represent its wealth, $40 would go to just one guy. Another $40 would go to the next nine. That leaves about $20 to distribute across the remaining 90 Americans, a dime here and a penny there (Saez & Zucman, 2016). While wealth has grown increasingly concentrated over the past several decades (Wolff, 2002), it has become a particularly acute problem in recent years. For example, between the years 2001 and 2013, the share of household wealth held by the top tenth increased from 70% to 76% of all wealth. As a comparison, consider a perfectly equal society, which has never existed and is not necessarily desirable in practice. In the perfectly equal society, one tenth of households would hold 10% of wealth. For essentially all of recorded human history, the top tenth has generally held anywhere from 60% to 90% of all wealth (Piketty, 2014). Within that context, the United States has significantly regressed down the continuum of recorded egalitarianism just since 2001. Over the same time period, the average wealth held by the bottom fourth of the population declined from $0 in 2001 to –$13,000 in 2013 (Congressional Budget Office, 2016).

While this problem is economy-wide, inequitable access to wealth disproportionately burdens Black Americans. Racial disparities in wealth have persisted despite substantial reductions in income disparities over the second half of the 20th century. In 1963, the median White family held over $45,000 more in wealth than the median non-White family. Today, that divide has grown to exceed $150,000, with White Americans holding $171,000 at the median to Black Americans' $17,000 and median Hispanics' $20,920 (Urban Institute, 2017).

Racial wealth disparities are linked to wealth inequality in the population as a whole. Wealth is accumulated and transferred through generations indirectly through educational opportunities and investment knowledge as well as directly through wealth transfers and inheritance (Charles & Hurst, 2003; Feiveson & Sabelhaus, 2018; Pfeffer & Killewald, 2018). As the upper and lower ends of the wealth distribution move in opposite directions, it exacerbates preexisting generational wealth disparities. Thus, racial wealth disparities not only persist over time but also grow with the overall stretching of the wealth distribution.

Observing the relationship between these phenomena, scholars Darrick Hamilton and William Darity Jr. have proposed a universal public program aimed at reducing generational wealth disparities that would also mitigate the concentration of wealth (Darity & Hamilton, 2012; Hamilton & Darity, 2010). The proposal would provide a trust fund to every newborn in the United States, which the child could access after reaching young adulthood. The program has been termed "baby bonds" for the consonance but would, in fact, provide equity in the form of a trust. The value paid to each individual in Hamilton and Darity's proposal would range between $500 and $50,000, varying inversely with the net worth of the household at the child's birth. By targeting bond values in this way, scholars intend to direct the greatest share of public resources to households with the greatest need and, thus, mitigate intergenerationally inherited

disadvantages of wealth. The proposed total public expenditure is $80 billion a year, spread across four million babies born in the United States per annum.

The baby bonds proposal has garnered extensive media attention and political consideration, especially following the introduction of a similar piece of legislation to the U.S. Senate by Senator Cory Booker[1] (Corasaniti, 2019; Nova & Schoen, 2019). The Booker bill and Hamilton-Darity proposal share an ultimate goal of reducing wealth inequality and share the consonant name of "baby bonds" but differ somewhat in their proposed administration. The Booker bill would administer initial trust values based on household income rather than net worth, for the administrative ease of relying on income tax records. Yet, the scholars tied bond values to net worth intentionally to target generational inequalities in wealth that lead to a greater racial wealth disparity than the disparity in income.

In light of growing interest in the policy idea, this study will empirically investigate the potential reach and fiscal feasibility of the baby bond program as proposed by Hamilton and Darity (2010; Darity & Hamilton, 2012). Could universal baby bonds meaningfully reduce racial disparities, compress the wealth distribution, and improve the asset positions of U.S. households? Could all of this be achieved for $80 billion, which is less than 10% of the annual cost of social security? I study these claims by simulating the value of the proposed grants, using nationally representative data on the net worth of young adults today and of their households at birth, from the Panel Study of Income Dynamics (PSID).

Background

Wealth provides the stability needed for individuals and families to solve unexpected crises in the short term, plan for investment and growth in the long term, and to exert social and political will in their communities across the life course. Analogously to an insurance policy, wealth creates a cushion from future uncertainty that minimizes the consumption effects of potential income shocks. In other words, the loss of income from losing a job or needing time off does less damage to well-being if assets are available to support consumption during these potentially difficult times either directly or by serving as collateral for a loan. In the same way that risk-averse consumers are willing to pay more for insurance than they expect to receive in medical payouts, so, too, do individuals derive utility from the simple fact of asset ownership (Arrow, 1963). In either case, one benefit from the peace of mind that comes from knowing that protection is there, even without spending the available resources. The peace of mind may be greater from asset ownership because, unlike health insurance, one can always bequeath unspent assets, while unspent insurance premiums are lost to the consumer.

Moreover, asset ownership has been shown to enable social mobility and educational attainment by providing a foundation from which to assume the risks of investment and growth. Even independent of the effect of income, evidence suggests that young people from wealthier families are more likely to complete 2 or 4 years of higher education and to move up in the socioeconomic distribution (Braga, McKernan,

Ratcliffe, & Baum, 2017; Feiveson & Sabelhaus, 2018). Finally, wealth can confer social and political power that is distinct from income, some portion of which may be attenuated by an asset transfer program (Wolff, 2002). Large accumulations of financial or business assets can confer special privileges in the political arena or in a local social context. The increasing concentration of this power in the hands of a few Americans can, thus, undermine the democratic process. For example, a few individuals representing a powerful corporation can influence tax rules simply by offering to move in to an area—or threatening to leave. An asset-building policy like baby bonds would not prevent large corporations from exerting disproportionate political influence in all instances. Still, providing capital for individuals to build small businesses has the potential to diversify local economies and strengthen municipalities' resilience to the pressure of any one particular employer (Bettencourt, Samaniego, & Youn, 2014)

The existing policies that do address the need to broaden the base of asset ownership work through regressively designed tax benefits that disproportionately benefit households with higher incomes or those who have some wealth to begin with. For example, the mortgage-interest deduction reduces the taxable income of home-owning households by the amount of their interest payment. Lower income households with lower income tax rates and households with smaller home values will necessarily benefit the least, whereas those who do not own a home do not benefit at all. Mortgage interest deductions represent a substantial federal tax expenditure (U.S. Department of the Treasury, 2017). That expenditure is allocated solely to households who own their home and primarily to the highest earning households who face the highest income tax rates and, thus, realize the greatest dollar value of tax savings.

Similar to tax-benefited home ownership, states offer tax-protected savings plans that support families to save for college but disproportionately benefit the wealthiest, highest income families. Money in these accounts, termed "529s," are exempt from taxation on gains and are not considered income for tax purposes upon withdrawal (Alexander & Luna, 2005).

The tax-based incentive system benefits the highest earning households, who face the highest income tax rates and, thus, realize the greatest dollar value of tax savings. Moreover, the program can only benefit those who contribute deposits, which the income-constrained are unlikely to afford. The Government Accountability Office (GAO), a nonpartisan agency of the federal government, found that only 3% of U.S. families held a 529 savings plan in 2010 (U.S. GAO, 2012). Median income among families with a 529 was more than 3 times the income of families without a 529 ($142,400 vs. $45,100; U.S. GAO, 2012). Furthermore, independently from the income available for such savings plans, individuals are less likely to invest if they have weaker ties to the financial system, especially those who are generationally disadvantaged or who grew up without assets. In fact, a substantial share of the intergenerational elasticity of wealth (not counting inheritance) is explained by a shared propensity to hold financial assets relative to other forms of assets (Charles & Hurst, 2003). As a result, those from households with a greater propensity to hold financial

assets are more likely to themselves contribute to these voluntary asset-subsidy schemes. The GAO report demonstrates that median financial wealth among families with a 529 was approximately 25 times the median financial wealth of families without a 529 in 2010. Those families with a 529 were also nearly twice as likely to hold retirement assets and held more than 5 times as much in retirement accounts as the median family without a 529 (U.S. GAO, 2012).

A universal baby bond program could run through a similar tax-benefited structure as 529s but in this case, the initial seed would be planted with public expenditures. Rather than perpetuating preexisting disparities in the propensity and ability to invest in financial assets, the program would ensure full participation in addition to transferring progressively administered bonds. Such a design could in theory reduce historically accumulated racial wealth disparities and greatly broaden access to assets.

The remainder of this article will empirically evaluate whether the proposed baby bond program would reduce racial wealth disparities, raise wealth at the bottom and middle, and reduce the concentration of wealth at the top. I examine the program's effects on the cohort of young adults between 18 and 25 years. I focus on young adults because it is the earliest point at which the bonds have an impact. In the proposal, withdrawal from the accounts would be barred or heavily penalized until adulthood. Predicting the program's effect on wealth at later ages after the bonds may have been consumed or invested would require additional foresight into, or assumptions about, the success of these various hypothetical ventures. Instead, I evaluate the economic impact of the program once the cohort reaches early adulthood.

Method

Sample and Data

This study examines data on household wealth and demographics from the PSID. The PSID has continuously followed a nationally representative sample of families since 1968, when it began collecting data on household economic well-being to monitor progress in President Lyndon Johnson's "War on Poverty" (McGonagle, Shoeni, Sastry, & Freedman, 2012). The survey design follows family members, including children who start their own families, to demonstrate social and economic mobility across generations (Charles & Hurst, 2003). In 1984, the PSID began to collect detailed information on households' assets and liability holdings. These wealth data compare well with other national surveys, including the Survey of Consumer Finances (SCF) conducted by the Federal Reserve Bank. In previous assessments, the PSID has been found to accurately represent the distribution and levels of wealth in the United States for a majority (98%) of households but to perform less well at the top 2 percentiles (Barsky, Bound, Kerwin, & Lupton, 2002; Juster, Smith, & Stafford, 1999). This suggests unbiased estimates of population medians and the racial wealth gap at the median, which are central to this study. In my discussion of the findings, I explore the implications of this data limitation with respect to estimates of total wealth held by population deciles.

For this study, I select young adults between the ages of 18 and 25 years in the 2015 wave of the PSID. Young adults from 2015 are then matched to earlier PSID waves to obtain information on their household's net worth at the time of their birth. Sample members were born between 1989 and 1996. Individuals are matched to the PSID wave from 1989 if they were born between 1989 and 1991 and matched to the wave from 1994 if they were born between 1991 and 1996. All values of household wealth at birth are inflated to 2015 US$ using the Consumer Price Index less food and energy, selected to avoid the influence of volatile commodities on estimates of consumer prices over time; however, results were robust to index choice. I drop 12 observations reporting negative net worth in 1989 but greater than $250,000 in 1994 and end with a sample size of 1,269 young adults with complete wealth data in 2015 and at birth. All results presented apply individual-level cross-sectional weights for 2015, which represent the cross section of the population in 2015.

Bond Value Simulation

The aim of this study is to demonstrate the economic effects of a baby bond program that is both universal in its reach and targeted in its effect. To design a bond-allocation scheme that targets the greatest share of bond dollars to the households with the least assets, I first divide the young adults into 5 quintiles of household net worth at birth. Then I assign categorical bond values according to each wealth quintile, between $200 for the top 20% and $50,000 to bottom 20% (Table 1). I regress these discrete values on the continuous measure of net worth to smooth out the bond values across the wealth distribution. Rather than regressing on raw wealth values, I transform reported wealth using the inverse hyperbolic sine (IHS) function. The IHS closely mirrors the logarithmic function for values greater than 10 or less than negative 10 and is symmetrical about 0 in between. This transformation is used in wealth models to reflect the skewed tails of the distribution of wealth holdings that trail in both the upper and lower directions (Burbidge, Magee, & Robb, 1988). Figure 1 shows the IHS of wealth and its characteristic tails in either direction. Fitting bond values to the IHS of wealth allows the bond allocation to inversely mirror the distribution of household wealth, such that the highest bond values are directed at the least well-off households. Figure 2 plots the distribution of fitted bonds by wealth. The supplementary materials briefly explore an alternate bond-allocation design, which regresses the discrete value of baby bonds on the raw measure of household wealth at birth without transforming wealth with the IHS function. The exercise suggests the program would still prove to be progressively administered but would lose a degree of its progressivity.

I slightly adjust the fitted bond values depicted in Figure 2 by imposing a $500 lower and $50,000 upper bound on the bond values, which is binding for 155 observations. These policy parameters, governing the minimum, maximum, and total size of the program, closely match the parameters proposed by Hamilton and Darity (2010) and are similar to the parameters proposed by Senator Cory Booker, whose proposed baby bonds would range from $1,000 to $46,000.

Table 1. Quintiles of Household Wealth at Birth Among Young Adult Households in the 2015 Panel Study of Income Dynamics.

		Household net worth at birth		Bond values		
		M	Median	Categorical	Fitted *M*	Fitted median
Total sample		$416,928	$116,481		$19,748	$14,783
Wealth quintiles						
Q1	<$500	−$31,140	−$7,092	$50,000	$45,132	$50,000
Q2	500-17,000	$21,420	$19,459	$45,000	$18,691	$18,271
Q3	17,000-62,000	$109,008	$103,567	$7,500	$15,056	$15,012
Q4	62,000-185,000	$325,023	$303,178	$5,000	$12,878	$12,918
Q5	>185,000	$1,602,002	$898,973	$200	$10,358	$10,800

Note. This table presents the net worth of young adults' households at birth, and the progressively administered bond values assigned under a universal baby bond proposal.

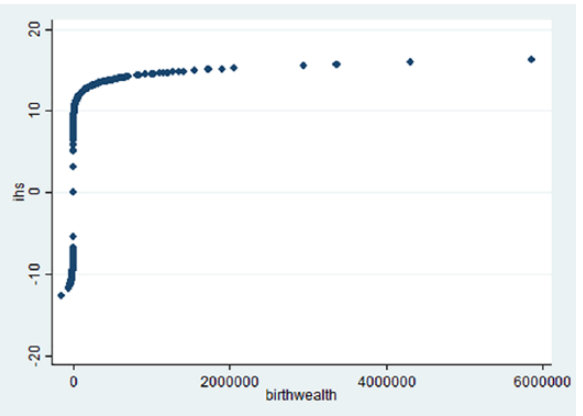

Figure 1. Scatter plot of the inverse hyperbolic sine of wealth plotted against wealth.

While these initial bond values are assigned according to household wealth at birth, in the "Results" section, I present impacts on contemporary young adult wealth. I calculate the current value of the bonds that were distributed at birth by assuming a 2% annual rate of interest accrued to the bondholder and add to the individual's reported net worth in 2015.

To validate the total cost estimate at $80 billion, I apply the bond simulation described above to the 1992 SCF, which are the best available data on the nation's total household wealth. I first separate households with newborns into weighted quintiles of

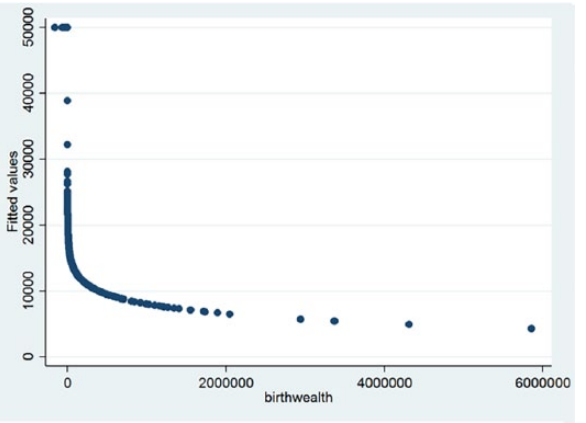

Figure 2. Fitted bond values plotted against household wealth.

Table 2. Total Cost Validation in the Survey of Consumer Finances.

	Age less than 1 year	Age 1 year	Average of 1 and 2
Number of births	1,734,917	6,301,550	4,018,234
Total bond value (billions 2015 US$)	$35.20	$128.82	$82.01

Note. This table presents estimates of the total cost of the baby bond program, using representative data on household net worth from the 1992 Survey of Consumer Finances. Bonds are simulated for all households based on age of youngest child. Because data are not available on month of birth, the total cost of the program is assumed to be applied to newborns between 0 and 1 year old. The estimated cost of the program is $80 billion, adjusted for inflation to 2015 dollars.

net worth and regress the categorical bond values on IHS-transformed net worth, as described above. Because the SCF reports age as a yearly variable, rather than in terms of months, one cannot identify exactly 12-months' worth of newborns to correspond to the number of newborns receiving the bond in 1 year. The SCF reports 1.7 million babies below the age of 1 year but 6.3 million babies age 0 or 1 (Table 2). To approximate the size of the newborn population in 1992 (4.07 million; Centers for Disease Control and Prevention, n.d.), I take the average of the two groups and arrive at 4.18 million. I then find the weighted sum of the bond values across the population in both age groups and average between the two for a comparable population size. The total bond value comes to an estimated $82 billion, fairly close to the proposed $80 billion (Table 2).

In the "Results" section that follows, I evaluate the Black-White gap in net worth at the median, with and without universal baby bonds. Then, I investigate the program's effect on the distribution of wealth across the population using three indicators. I

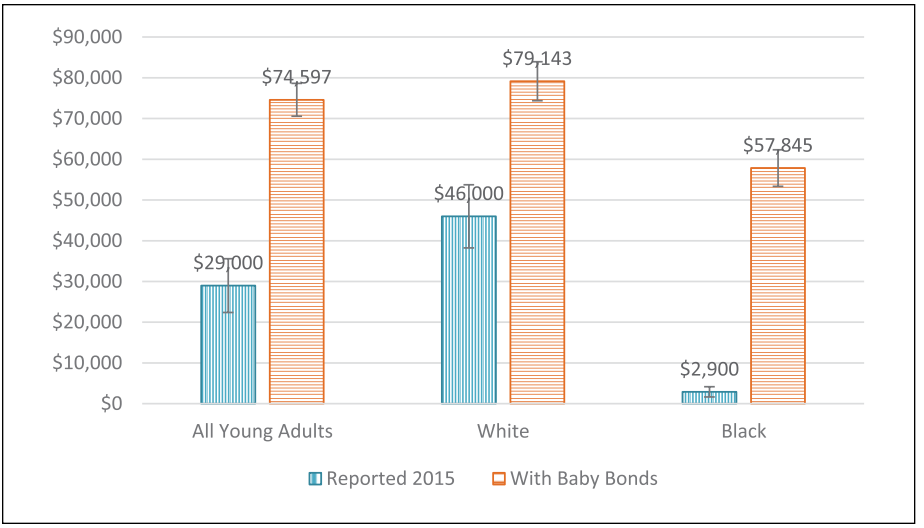

Figure 3. Impact of baby bonds on median wealth of young adult households, by race.
Note. This figure presents estimates of median net worth among young adult households by race. The population includes young adults between ages 18 and 25 years in the 2015 wave of the Panel Study of Income Dynamics, whose families were represented in the survey at the time of their birth.

evaluate net worth at quintiles of the wealth distribution, with and without bonds; examine whether the bonds would reverse the earlier identified trend in which wealthier households' net worth has grown since 2001, whereas poorer households' net worth has declined, and, finally, evaluate whether the baby bonds would reduce the share of total wealth held by the top decile of the young adult population.

Results

At the start of adulthood, young adults begin with disparate access to assets according to their race (Figure 3). The overall median net worth among young adult households is $29,000 in 2015. Among Black Americans, the median is one tenth the overall median ($2,900). Among White Americans by contrast, the median is nearly 1.5 times the overall median and more than 15 times the Black American median, at $46,000.

With universal baby bonds, each racial group would be better off (Figure 3). The overall median comes to nearly $75,000 (from $29,000). The racial disparity would persist, but the relative differential would be substantially diminished. The median White young adult household would hold approximately $79,000 versus the median Black American's $58,000. Thus, the program would reduce the Black-White wealth disparity from a factor of 15.9 to 1.4 at the median (see Supplemental Appendix Table A1 for numbers corresponding to Figures 3 and 4).

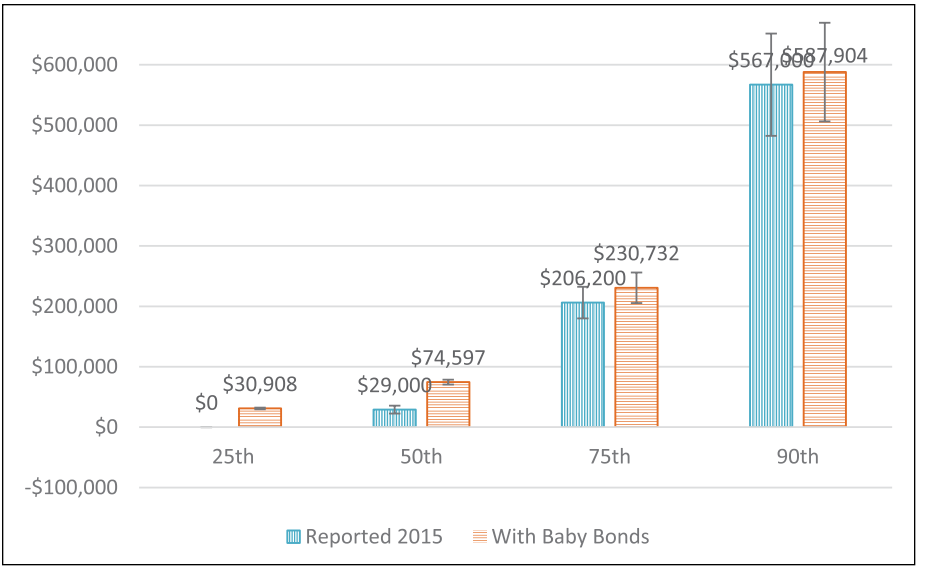

Figure 4. Impact of baby bonds on median wealth of young adult households, by categories of wealth holdings.

Note. This figure presents estimates of median net worth among young adult households by categories of wealth ownership. Medians reflect 50th percentile within wealth category. The population includes young adults between ages 18 and 25 years in the 2015 wave of the Panel Study of Income Dynamics, whose families were represented in the survey at the time of their birth.

While baby bonds would reduce race-based wealth inequalities, could a program of this size affect net worth across the wealth distribution? Without baby bonds in 2015, one in four young adult households own nothing or less (Figure 4). At the other end of the distribution, the 90th percentile holds well over half a million dollars ($567,000). Adding baby bonds substantially changes the wealth of young adults in the lowest quintile, who currently command $0 in financial stock, to instead have more than $30,000 worth of financial assets. Net worth at the upper decile of the distribution increases by far less. Wealth at the 90th percentile does not depart much from the prior half-million-dollar benchmark, going to approximately $588,000 (up from $567,000).

Next, I examine whether baby bonds would affect the trend identified in the existing literature in which net worth has increased since 2001 at the top of the wealth distribution but declined at the lower end (Congressional Budget Office, 2016; Oliver & Shapiro, 1997; Sherraden, c1991). I find that baby bonds cause no change to the differential time trend: The wealthiest quintiles increase in net worth over time, whereas the least wealthy end up in approximately the same net asset position or somewhat lower (Figure 5). First, Figure 5 shows that consistent with the prior literature, the wealth of the upper quintile increased substantially, whereas wealth of those just above the median (between the 60th and 80th percentiles) increased moderately, and wealth at the lower end of the distribution shows a decline over the period.

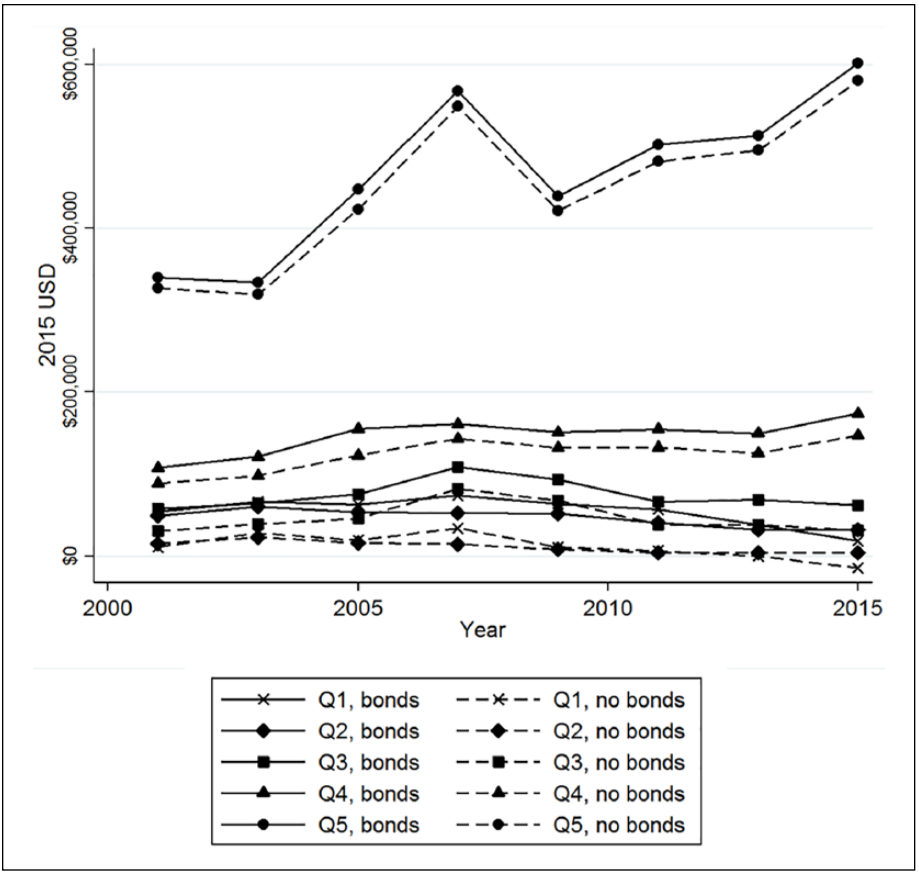

Figure 5. Net worth of young adults' households, 2000-2015, with and without universal baby bonds.

Note. Figure 5 displays net worth over time from 2000 to 2015 as reported in the Panel Study of Income Dynamics. Solid lines illustrate net worth with the present value of a universal bond administered at birth.

The trends remain consistent whether one follows the dashed lines, which plot household wealth over time as reported in the successive waves of the PSID, or the solid lines, which plot the slightly higher, new values of total wealth with the present value of the bond added in. The solid and dashed lines are slightly farther apart in 2015 than in 2001, reflecting an assumed rate of interest accruing at 2% per year. While the top quintile's marker on the far right rises well above its marker on the far left, those of the bottom three quintiles fall in line with or below the markers of their wealth in 2001.

While Figure 5 suggests that the baby bond program would not act in a confiscatory manner for the upper percentiles of the wealth distribution, nor entirely overpower the economic forces driving the distribution of wealth production, next, I examine one

Table 3. Share of Total Wealth Owned by Deciles.

Deciles of wealth distribution	Net worth reported 2015		Net worth with baby bonds	
1	−2.5%	−2.8%	−1.2%	0.5%
2	−0.4%	1st-3rd deciles	0.7%	1-3rd deciles
3	0.0%		1.1%	
4	0.2%	30.7%	1.4%	34.1%
5	0.6%	4th-9th deciles	2.1%	4-9th deciles
6	1.8%		2.8%	
7	3.8%		4.5%	
8	8.1%		8.1%	
9	16.2%		15.2%	
10	72.1%	72.1% 10th decile	65.3%	65.3% 10th decile

Note. This table presents the share of wealth held by each decile of the young adult population in the 2015 Panel Study of Income Dynamics. The final column presents the distribution of wealth among young adult households, with the present value of bonds from a proposed, progressively administered universal baby bond program.

final indicator for evidence of any movement toward a more egalitarian and less concentrated wealth distribution. I find that without baby bonds in 2015, the top decile of young adult households holds 72.1% of all wealth held in that population (Table 3). By comparison, the bottom three deciles hold –2.8% of all wealth, which is essentially debts owed to wealthier households. The middle six deciles share the remaining 30% of wealth. With the bonds, the bottom three deciles now collectively hold a greater than 0% share of wealth (0.5%), rather than a negative share; the middle six hold greater than a third (34.1%); and the top holds 65.0% of wealth (Table 3). The share of all wealth controlled by the top decile would, thus, decrease from 72.1% to 65.3% of all wealth held by this population.

Discussion and Conclusion

How can we contextualize the impact this program would have economically? In the short term, we can anticipate that the program would reduce generational wealth disadvantages and improve the net asset position of young Black American households according to a number of wealth-based indicators of well-being. According to the Federal Reserve, most Black Americans could not borrow $3,000 from a family member in an emergency (59% vs. 29% of Whites; see Dettling, Hsu, Jacobs, Moore, & Thompson, 2017). The proposed baby bond program would raise the median net worth of young Black American adults to nearly $60,000, which would meaningfully improve the Fed's $3,000 indicator for a substantial share of the population.[2] Furthermore, baby bonds would alleviate the effects of differential access to inheritance and gifts. Whereas Whites report receiving an inheritance at 3 times the rate of

Black Americans (26% vs. 8%; Federal Reserve), baby bonds could introduce greater economic stability for young Black American adults to use in navigating early life challenges and potential barriers to economic success and family creation.[3]

Would this program meaningfully reduce the economic power of the top wealth holders? The evidence presented in this article suggests that the share of total wealth held by the top decile of young adult households would decline from its current share of 72% to a new share near 65%. To contextualize this estimate, consider the benchmark referenced in the introduction to this study, that according to Thomas Piketty, the top decile has held at least 60% of all wealth "in all known societies, at all times," even the most egalitarian recorded societies (Piketty, 2014, p. 236). Relative to this benchmark, the 7-percentage point movement appears more meaningful.

Yet, the comparison is imperfect. First, these estimates of total wealth shares are subject to data limitations. While the PSID performs well at the medians, the survey underestimates wealth held by the top wealth holders in society. Estimates of the share of wealth held by the top decile with and without the program may both be underestimated. Further research is warranted into the program's potential impact on total wealth shares for young adult households, using a variety of data sources and methodological approaches. One promising avenue is offered by Saez and Zucman (2016), whose technique for capitalizing income tax data could be applied within this age cohort. Second, Piketty was referring to the total wealth held by an entire society rather than that solely held by the young adult cohort examined here. Young adults hold only a small share of total wealth, as they have yet to generate and accumulate substantial assets. The policy's effect on the wealth distribution of society as a whole is necessarily smaller than its effect on the wealth distribution of the young adult cohort directly receiving the transfer, at least until the policy has been implemented across several generations. Even then, this study cannot speak to the program's potential impact on wealth inequality across any cohort's life course, which depends on how recipients use the transfer.

The primary limitation of this analysis is its inability to discern the longer term effects of a baby bond program and how households will make use of the baby bonds they receive. For example, the generationally disadvantaged may be more likely to consume the asset relatively quickly, diminishing the importance of the distributional effect over time. Because Black households have lower income average, they may be more likely to dip into their savings. If income inequality continues to rise as the bonds mature, differential rates of asset consumption may grow increasingly important.

At the same time, the literature suggests that asset advantages and disadvantages earlier in life tend to accumulate over the life course (Crystal, 2003; Crystal, Shea, & Reyes, 2017). As a result, providing an unprecedented asset advantage to a broad swath of the population could have multiplicative effects and further reduce inequalities over the longer term. Moreover, the program would introduce an unprecedented level of access to capital for generationally disadvantaged youth and families. That sense of opportunity and hope may outweigh, for many, any impulse to squander the asset and its potential benefits for their future. Even in the case where recipients

consume the asset, that consumption may alleviate inequalities in well-being and enable the ongoing development of future human capital.

The program's longer term effects may be moderated by interactions with other economic phenomena, especially the cost of higher education and housing. If tuition prices or other industries targeted at young people grow in tandem with their net worth, the ultimate proceeds could be siphoned off to these industries, which would then bear the ultimate economic incidence of the transfer receipt. This outcome could be attenuated by accompanying policies to limit financialization of the asset, prohibiting risky loans or predatory annuitization. Future research should investigate the form and magnitude of potential economic interactions and the policies that could maintain the intended social benefits.

In addition, households may respond to the program in ways that alter the net worth realization of young adult recipients. For example, families may save less, knowing their children will have access to capital through baby bonds. Alternatively, families may save more, with the impression that higher education will now be within their children's reach financially. Independently of savings rates, family members may choose to work more or less, or enter or exit the workforce altogether, due to the availability of the publicly funded asset program for their children. The net direction and magnitude of behavioral effects are uncertain and may be significant (National Academies of Sciences, Engineering, and Medicine, 2019). Potential behavioral responses to asset programs could benefit from further research. In particular, a demonstration of the proposed program could clarify these issues.

The policy evaluated here, and its associated impacts on wealth disparities, is similar in size to the legislation proposed by Senator Cory Booker, which is much larger than some small-scale pilot programs currently being run in municipalities around the country (Beverly, Clancy, & Sherraden, 2016; Hernandez, 2018). At $80 billion per annum, the program is also similar in size to other welfare programs, including the Supplemental Nutrition Assistance Program known as food stamps ($71 billion) and the Earned Income Tax Credit ($73 billion). By comparison, the $80 billion cost is much smaller than the $109 billion subsidy given to the wealthiest households in the form of reduced income tax rates on capital gains and dividends, suggesting the program's size might be less than prohibitively large (Joint Committee on Taxation, 2018; U.S. Department of the Treasury, 2017). A second point of differentiation between this and the Booker proposal is its allocation of bonds on the basis of wealth rather than income. The Saez and Zucman (2016) approach to capitalizing income tax data may assist in the administrative challenge of accounting for households' wealth, though the challenge merits further research.

The allocation design presented in this article emphasizes a bond distribution that stringently allocates the most bond dollars to households with the least wealth. The alternative allocation design, which distributed bond dollars linearly instead of logarithmically, would have provided a greater share of the bond dollars to households in the middle of the wealth distribution as opposed to concentrating on the bottom. The allocation design may play an important role in the ultimate impact of this program and the progressivity of its economic impacts.

Importantly, this study provides evidence that the baby bond proposal has the potential to make substantial headway in reducing the generationally accumulated disparity in wealth that has burdened Black American households throughout this country's history. The baby bond program would not fundamentally restructure the distribution of wealth: The top decile would still own far more wealth than the remaining 90%, and the poorest would still own little to nothing—or less. Still, by raising the bottom and median net worth by more than it raises net worth at the top, the program would act to marginally compress the wealth distribution toward the middle, rather than concentrating wealth ownership at the far-right tail. Moreover, the program would cost less than the annual tax revenues lost to the preferential treatment of capital gains and dividend income (Joint Committee on Taxation, 2018; U.S. Department of the Treasury, 2017).

A universal baby bond program would be race neutral in its implementation, race conscious in its design, and racially and economically progressive in its impact.

Authors' Note

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Supplemental Material

Supplemental material for this article is available online.

Notes

1. https://www.congress.gov/bill/115th-congress/senate-bill/3766/text.
2. The study examines wealth disparities at the median of household income as an indication of the program's potential impact on the majority of recipients. Because the mean is sensitive to outliers and is relatively weighted to the highest wealth households, the metric would reflect the smaller impact of baby bonds at the top of the distribution and would, thus, generate a smaller estimated reduction to wealth disparities.

3. The empirical results do not reflect much of the impact of inheritance on the future wealth of young adults, which are likely to be relatively advantageous to Whites. Without baby bonds, the inheritances would serve to further exacerbate preexisting disparities.

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